Grasim Industries Ltd

GRASIM

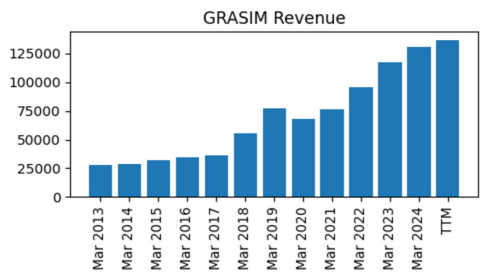
Key Financial Metrics

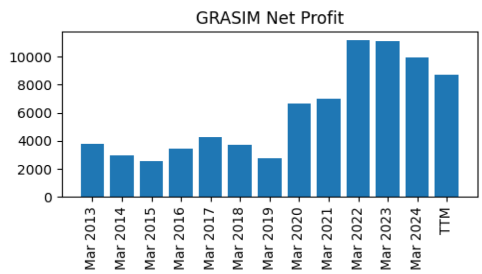
ROE 9.36%	**ROCE** 10.96%	**Debt / Equity** 1.70
Revenue CAGR 15.09%	**FCF Conversion** -107.99%	**Quality Score** 21.64

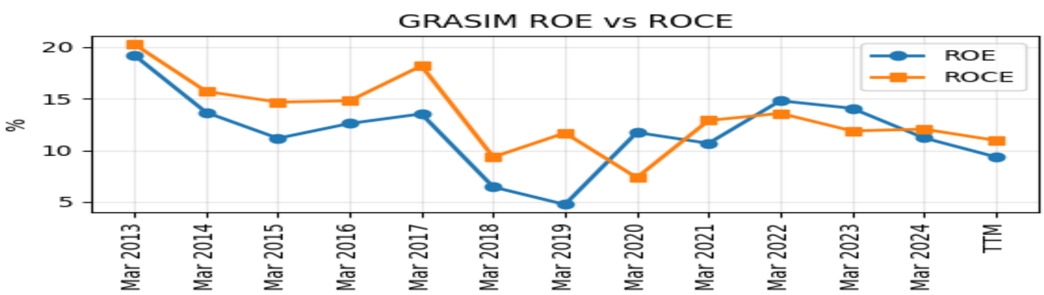
Company Profile

Company	Grasim Industries Ltd
Sector	Industrials
Industry	Diversified Industrials
Market Cap (■ Cr)	478,951.82
P/E Ratio	79.35
P/B Ratio	5.68
Dividend Yield	0.98%

Financial Performance







AI Investment Summary

Grasim Industries Ltd currently faces multiple financial challenges that increase investment risk. It currently has moderate profitability, average capital efficiency, rapid revenue growth, moderate cash-flow quality and elevated leverage. The overall financial quality score is 21.6/100. Key strengths include: Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.. Key risks include: Two consecutive years of negative free cash flow point to weak cash generation.; Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.; Earnings per share have declined for three consecutive years, indicating weakening profitability.. Investment recommendation: Avoid. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

Pros	Cons
• Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.	• Two consecutive years of negative free cash flow point to weak cash generation. • Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage. • Earnings per share have declined for three consecutive years, indicating weakening profitability.

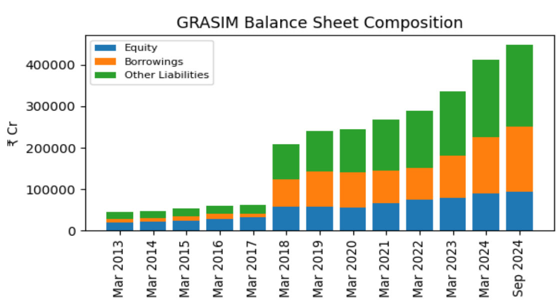
Investment Recommendation

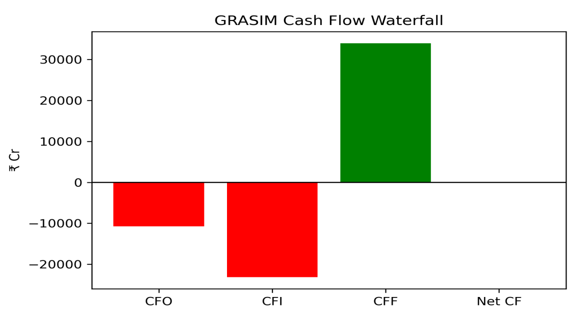
Recommendation	**AVOID**
Risk Level	VERY HIGH
Confidence	LOW

Recommendation Reason:
The recommendation is based on an adjusted financial score of 21.6/100, supported by 1 identified strengths, 3 identified risks, and cash-flow quality rated as Moderate.

Adjusted Score: 21.6

Balance Sheet & Cash Flow





Financial Health

Profitability	Weak
Growth	Strong
Cash Flow	Weak

Leverage	Weak
Valuation	Expensive

Capital Allocation

Growth Funded by Debt